Premium & Discount

Market Structure

Think of how a business would like to manage its stock. They would buy it whilst the price is low & then sell it when the price is high. The same goes for currency trading.
Longs are higher probability in discount prices.
Shorts are higher probability in premium prices.

Premium vs Discount

1) Identify the price leg / price range on whatever TF you are on
2) Use Fib tool (50%) to locate the equilibrium
3a) If Bullish it's best to wait for price to reach discount prices before buying
3b) If Bearish it's best to wait for price to reach premium prices before selling

Price does not have to pull back to discount pricing to form a higher low in a bullish market.

Price does not have to pull back to premium pricing to form a lower high in a bearish market.